

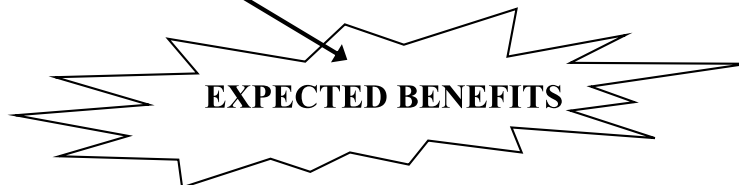
DESIGNING PRODUCTS

- **PRODUCT**
 - วัตถุที่มีตัวตนจับต้องได้
 - บริการ
 - กิจกรรม
 - ความคิด
- **PRODUCT** สามารถแบ่งออกได้เป็น 3 level:
 - Core Product
 - Actual Product
 - Augmented Product

- **CORE PRODUCT** คือสิ่งที่ผู้บริโภคจะได้รับประโยชน์หรือมุ่งหวังว่าจะได้รับประโยชน์จากผลิตภัณฑ์
 - เครื่องสำอาง
- **ACTUAL PRODUCT** เป็นสินค้าที่มีตัวตนหรือบริการที่เสนอให้กับผู้บริโภคที่เรามองเห็นหรือรู้สึกได้
 - ระดับคุณภาพ (quality level)
 - Feature
 - Design
 - Brand name
 - Packaging

- **AUGMENTED PRODUCT** คือ additional consumer services and benefits built around the core and actual product

- Warranty
- บริการสอนการใช้คอมพิวเตอร์เบื้องต้นเมื่อซื้อเครื่อง
- Bowl of Fruit
- Cable Television



- การแบ่งประเภทของผลิตภัณฑ์ (Product Classifications)
 - Consumer Products
 - Industrial Products
- **CONSUMER PRODUCTS**
 - Convenience Products
 - Shopping Products
 - Specialty Products
 - Unsought Products

- **CONVENIENCE PRODUCTS** คือสินค้าหรือบริการที่ผู้บริโภคจะซื้อใช้บ่อยๆ มีราคาไม่แพง ลูกค้านักต้องการซื้อในเวลาอันรวดเร็ว ใช้ความพยายามในการซื้อน้อย
 - Staple Products เป็นสินค้าที่ใช้เป็นกิจวัตร ใช้แล้วหมดไป และซื้อใช้กันบ่อยๆเป็นประจำ
 - Impulse Products เป็นสินค้าที่ซื้อโดยไม่ได้ตั้งใจ ผู้บริโภคตัดสินใจซื้อโดยไม่ได้วางแผนมาก่อน
 - Emergency Product สินค้าชนิดนี้จะซื้อเมื่อเกิดเหตุจำเป็นเร่งด่วน

- **SHOPPING PRODUCTS**
 - ความเหมาะสม
 - ความคงทนถาวร
 - คุณภาพ
 - รูปแบบ
 - ราคา
- **SPECIALTY PRODUCTS** เป็นสินค้าที่ผู้บริโภคคิดว่าไม่สามารถหาสินค้าอื่นมาทดแทนได้
- **UNSOUGHT PRODUCTS** เป็นสินค้าที่ลูกค้าไม่ได้เสาะหาที่จะซื้อเลย อาจเป็นเพราะไม่รู้จักรู้ว่ามีหรือไม่ต้องการก็ได้

- **INDUSTRIAL PRODUCTS**
 - Material and Parts
 - Capital Items
 - Supplies and Services
- **MATERIAL AND PARTS -- industrial products that become a part of the buyer's product, through further processing or as components**
 - Raw Materials
 - Farm Products -- ข้าว ผัก ผลไม้ livestock
 - Natural Products -- lumber, crude petroleum
 - Manufactured Materials and Parts
 - Component Materials -- iron, yarn
 - Component Parts -- small motors, tires

- **CAPITAL ITEMS -- industrial products that aid in the buyer's production and operations**
 - Installations -- office building, factories, generators, large computers
 - Accessory Equipment -- เป็นเครื่องมือที่ช่วยในการผลิตของอุตสาหกรรม มี Shorter life than installations
- **SUPPLIES AND SERVICES -- industrial products that do not enter the finished product at all**
 - Supplies
 - Operating Supplies -- lubricants, computer, paper, pencil
 - Repair and maintenance items -- paint, nails
 - Services
 - Maintenance and repair services -- window cleaning, computer repair
 - Advisory services -- legal, advertising

Decisions Relating to the Development and Marketing of INDIVIDUAL Products

- **PRODUCT ATTRIBUTES -- defining the benefits that the product will offer**
 - **Product Quality**
 - Level
 - Consistency
 - **Product Features**
 - **HOW DO YOU LIKE THE PRODUCT?**
 - **WHICH SPECIFIC FEATURES OF THE PRODUCT DO YOU LIKE MOST?**
 - **WHICH FEATURES COULD WE ADD TO IMPROVE THE PRODUCT?**
 - **HOW MUCH WOULD YOU PAY FOR EACH FEATURE?**

- **PRODUCT DESIGN**
 - **Design VS. Style**
 - **appearance**
 - **improve product performance**
 - **easy**
 - **safe**
 - **inexpensive to use and service**
 - **simple & economical to produce and distribute**

- **BRANDING**
- **What is Brand ?**
- **Brand Equity**
 - **Brand loyalty**
 - **Name awareness**
 - **Perceived quality**
 - **Strong brand association**
 - **ข้อดี**
 - **Lower Marketing Costs Relative to Revenues**
 - **Bargaining Power with Resellers**
 - **Easily launch brand extension**
 - **Defense against fierce price competition**

- **KEY BRANDING DECISIONS**
- **To Brand or not to brand**
 - **Brand name VS. Generic product**
 - **Branding help buyers:**
 - **Quality**
 - **Increase shopper's efficiency**
 - **Branding help sellers:**
 - **Easier to process order and track down problems**
 - **Legal Protection**
 - **Attract a loyal and profitable set of customers**
 - **Segment markets**

- **KEY BRANDING DECISIONS (continue)**

- **Brand name selection**

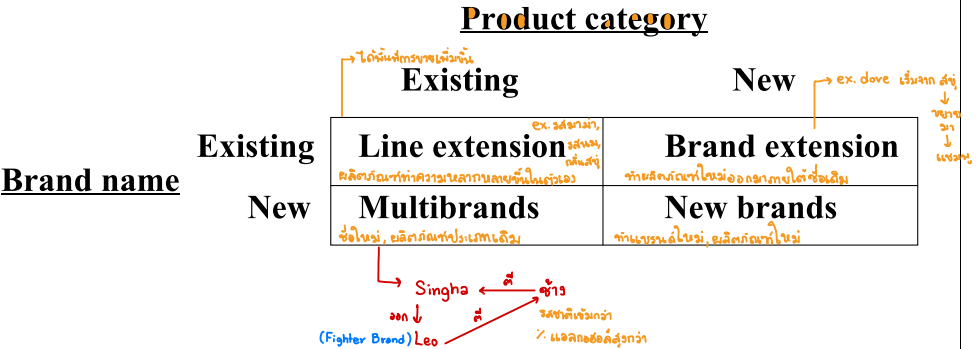
- It should suggest something about the product's benefits and qualities.
- It should be easy to pronounce, recognize, and remember
- The brand name should be distinctive.
- Should translate easily into foreign languages
- It should be capable of registration and legal protection.

- **Brand Sponsor**

- Manufacturer's brand
- Private brand (Store brand)
- Licensed brand
- Co-brand

- **KEY BRANDING DECISIONS (continue)**

- **Brand Strategy**



- **Line extensions**

- **REASONS**

- To meet the consumer desired for variety
- Excess manufacturing capacity
- Match a competitor's successful line extension
- command more shelf space

- **RISKS**

- Lose its specific meaning
- sell is not enough to cover development and promotion costs.
- Sell may come at the expense of other items in the line.

- **Brand extensions**

- **ADVANTAGES**

- Greater market share
- Greater advertising efficiency
- Help the company enter new product categories more easily
- Give new product instant recognition and faster acceptance
- Save advertising cost

- **RISKS**

- extension brand fails ---> harm other products
- a brand name may not be appropriate to a particular new product
- Lose its special positioning in the consumer's mind (brand dilution)

- **Multibrand**

- **REASONS:**

- Establish different features and appeal to different buying motives
 - Lockup more reseller shelf space
 - Setting up flanker or fighter brands
 - Separate brand names for different regions or countries

- **RISKS:**

- Each brand might obtain only a small market share
 - Spreading the company's resources over many brands

- **New brand**

- S.C. Johnson --> Pledge furniture polish, Glade air freshener, Raid insect spray, Edge shaving gel

- **KEY BRANDING DECISIONS (continue)**

- **Brand Repositioning**

- **REASONS:**

- Competitor launch a brand positioned next to the company's brand and cut into its market share
 - Customers shift or leave the company's brand with less demand

- **May require changing both the product and its image**

- Kentucky Fried Chicken --> KFC --> Health-conscious
 - Velveeta (cooking cheese) --> Velveeta ("good tasting, natural, and nutritious" snack cheese)

- **PACKAGING**

- **Product primary container**

- **Secondary package**

- **Shipping package**

- **Purposes of packaging:**

- Protect the product on its way to the consumer
 - Protection after the product is purchased
 - Help gain acceptance of the product from the middlemen
 - Attracting attention and persuade consumers to buy the product

- **The package must be consistent with product's advertising, pricing, and distribution.**

- **LABELING**

- **Identify the product or brand**

- **Grade the product**

- **Promote the product**

- **Who made it**

- **Where it was made**

- **When it was made**

- **its contents**

- **How it is to be used**

- **How to use it safely**

- **PRODUCT-SUPPORT SERVICES**

Decisions Relating to the PRODUCT LINE

- **Product line is a group of products that are closely related because they function in a similar manner, sold to the same customer groups, marketed through the same types of outlets, or fall within given price range** like GM, NIKE, MOTOROLA
- **Product line length**
 - Too short
 - Too long

- **Increase the length of product line**
 - **REASONS:**
 - Use up excess manufacturing capacity
 - Satisfy the customers
 - To increase sales and profits
 - **COSTS:**
 - Design and engineering
 - Inventory
 - Manufacturing changeover
 - Order processing
 - Transportation
 - Promotional to introduce new items

- **Increase the length of product line (continue)**
 - **Stretching Downward**
 - Entered the upper end to establish a quality image and intended to roll downward later
 - Respond to a competitor's attack on the upper end
 - To plug a market hole
 - Find faster growth taking place at the low end
 - **RISK**
 - Provoke competitors to counteract
 - Dealers may not be willing to handle lower-end products
 - Low-end item eat away the sales of the company's high end items

- **Increase the length of product line (continue)**
 - **Stretching Upward**
 - Faster growing rate or higher margins at the higher end
 - Position as full-line manufacturers
 - Add prestige to their current products
 - **RISKS**
 - Strike back
 - Customers may not believe that the company CAN PRODUCE QUALITY PRODUCTS
 - Distributors lack the talent to serve the higher end market

- **Increase the length of product line (continue)**

- **Stretching Both Ways**

- **Marriott**

- **Fill in the Product Line**

- **Use excess capacity**
- **Trying to be the leading full-line company**
- **Plug the holes to keep out competitors**
- **RISKS**
 - **Cannibalization**
 - **Customer confusion**

- **Product Line Modernization**

- **Piecemeal**

- **Overhaul**

- **Product Line Featuring**

- **Traffic builders**

- **Class**

- **Product Mix Decisions**

- **Width**

- **Length**

- **Depth**

- **Consistency**